

PRACTICAL NO. 10

Aim

Preparation of Case Study Report on “Return on Sales (ROS) of a Successful Startup” using Zerodha as a case study.

1. Introduction

Return on Sales (ROS) is a profitability ratio that indicates how much profit a business generates from its sales or revenue. It helps in understanding how efficiently a company converts revenue into profit.

A successful startup may generate strong sales, but high sales alone do not necessarily indicate financial efficiency. ROS helps an entrepreneur study the relationship between revenue and profit and understand the impact of pricing, operating costs, technology and business efficiency.

This report studies Zerodha, an Indian financial-technology startup, as a successful case. It examines its business model, revenue and profit performance, calculates ROS for FY 2023–24, compares it with FY 2022–23, and identifies factors supporting profitability.

2. Selected Startup

For understanding Return on Sales, the following startup is considered:

Startup Name: Zerodha

Nature of Business: Online stockbroking and investment platform.

Type of Enterprise: Bootstrapped financial-technology (FinTech) enterprise.

Basic Characteristics:

- Technology-driven business model
- Low-cost and customer-focused services
- Bootstrapped growth
- Digital customer acquisition and word-of-mouth growth
- Strong revenue generation
- Strong profitability
- Focus on operational efficiency
- Long-term business approach

3. Major Factors Affecting Return on Sales

The following factors are considered while studying the Return on Sales of a successful startup:

Factor	Major Contribution to ROS
Revenue / Sales	Provides the base against which profitability is measured
Net Profit	Shows the amount retained from revenue after expenses
Pricing	Affects revenue generated from products and services
Operating Costs	Lower and controlled costs can improve profitability
Technology	Can reduce transaction and operating costs at scale
Customer Growth	Increases the potential revenue base
Business Model	Determines how efficiently revenue is generated
Competition	Can influence pricing, customer acquisition and margins

4. Zerodha – About the Startup

Zerodha was founded in 2010 by Nithin Kamath and Nikhil Kamath. It developed as a technology-driven stockbroking business and became known for its low-cost model and focus on customer-oriented products.

Zerodha describes itself as a bootstrapped and profitable business. Its FY 2023–24 business update reported revenue of approximately ₹8,320 crore and profitability of approximately ₹4,700 crore.

Business Model

- Digital-first stockbroking platform
- Competitive pricing for applicable trading services
- Free equity delivery brokerage model
- Technology-based account opening and trading
- Customer education through digital resources
- Strong emphasis on product quality and customer experience

5. Revenue and Profit Performance

Zerodha's FY 2023–24 business update reported revenue of ₹8,320 crore and profitability of ₹4,700 crore. The company also noted that the profitability figure did not include approximately ₹1,000 crore of unrealised gain that would appear in its financials.

For comparison, Economic Times reported that Zerodha's FY 2022–23 overall revenue was approximately ₹6,875 crore and profit after tax was approximately ₹2,900 crore.

Financial Indicator	FY 2022–23	FY 2023–24
Revenue	₹6,875 crore	₹8,320 crore
Profit	₹2,900 crore	₹4,700 crore

6. Meaning of Return on Sales (ROS)

Return on Sales (ROS) measures the percentage of revenue that remains as profit. It is expressed using the following formula:

$$\text{ROS} = (\text{Net Profit} \div \text{Sales/Revenue}) \times 100$$

A higher ROS generally indicates that a company is able to convert a larger proportion of its revenue into profit. The ratio should be interpreted together with the business model, industry characteristics and the period being studied.

7. ROS Calculation for Zerodha

Using the reported FY 2023–24 figures:

$$\text{ROS} = (\text{₹4,700 crore} \div \text{₹8,320 crore}) \times 100$$

$$\text{ROS} = 56.49\% \text{ (approximately)}$$

Therefore, Zerodha generated approximately ₹56.49 of profit for every ₹100 of reported revenue in FY 2023–24.

For FY 2022–23:

$$\text{ROS} = (\text{₹2,900 crore} \div \text{₹6,875 crore}) \times 100$$

$$\text{ROS} = 42.18\% \text{ (approximately)}$$

Year	Revenue	Profit	ROS
FY 2022–23	₹6,875 crore	₹2,900 crore	42.18%
FY 2023–24	₹8,320 crore	₹4,700 crore	56.49%

The comparison shows an increase of approximately 14.31 percentage points in ROS from FY 2022–23 to FY 2023–24.

8. Factors Responsible for Strong ROS

- Technology-driven operations can support scalable service delivery.
- A digital-first model can reduce the need for extensive physical infrastructure.
- Competitive pricing can help attract and retain customers at scale.
- Strong customer adoption supports revenue generation.
- Bootstrapped operations reduce dependence on external investor funding.
- Operational efficiency and cost discipline can support higher profitability.
- Customer-focused product development can strengthen long-term business performance.

9. Information Required Before Calculating ROS

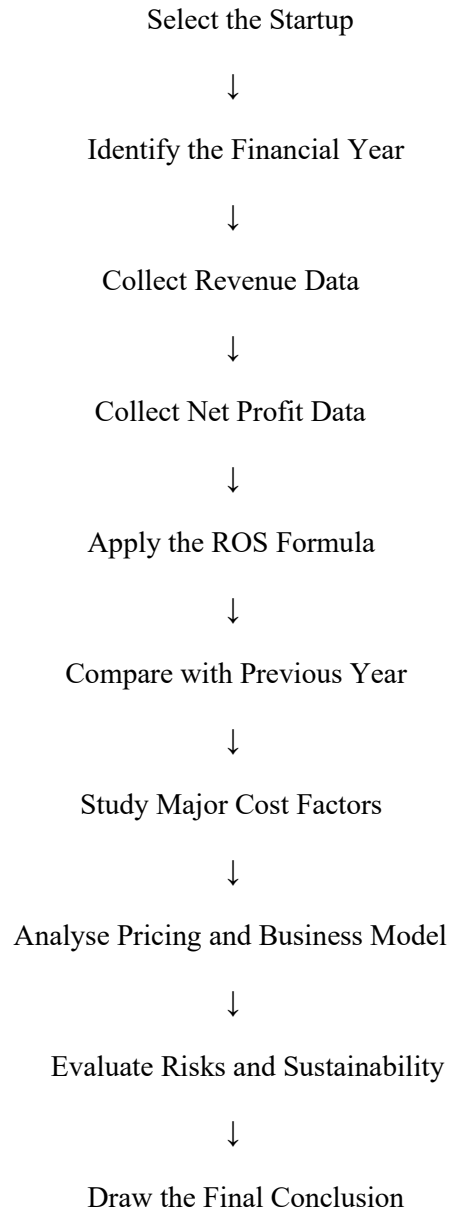
Requirement	Information to be Collected
Sales / Revenue	Total revenue for the selected financial year
Net Profit	Profit after relevant expenses and taxes, depending on the chosen ROS definition
Financial Year	Period for which ROS is calculated
Operating Costs	Major expenses affecting profitability
Pricing	Pricing structure and revenue model
Customer Base	Number and growth of customers
Business Model	Main sources of revenue
Industry	Industry conditions and normal profit margins
Risk	Market, regulatory and competitive risks
Comparison Data	Previous-year or industry ROS for comparison

10. ROS Analysis of Zerodha

Parameter	Observation
FY 2022–23 ROS	Approximately 42.18%
FY 2023–24 ROS	Approximately 56.49%
Change in ROS	Approximately +14.31 percentage points
Revenue Growth	FY24 revenue higher than FY23 revenue
Profit Growth	FY24 profit substantially higher than FY23 profit
Business Model	Technology-driven and bootstrapped
Profitability	Strong
Key Risk	Regulatory and market changes can affect future revenue and profitability

Zerodha has warned that regulatory changes could affect future revenue, including changes affecting brokerage and derivatives.

11. Suggested Steps for Calculating Return on Sales



12. Key Findings

- Return on Sales is an important ratio for measuring profitability relative to revenue.
- Zerodha provides an example of a successful technology-driven and bootstrapped startup.
- Zerodha reported approximately ₹8,320 crore of revenue and ₹4,700 crore of profitability for FY 2023–24.
- Based on these figures, the calculated FY24 ROS is approximately 56.49%.
- Using the reported FY23 figures, the calculated ROS was approximately 42.18%.
- The comparison indicates an improvement of approximately 14.31 percentage points in ROS.
- Technology, customer focus, pricing and operational efficiency contributed to the business model.
- Regulatory and market changes remain important risks when assessing future profitability.

13. Conclusion

The case study of Zerodha demonstrates the importance of Return on Sales in understanding the profitability of a successful startup. A business may generate high revenue, but its financial strength also depends on how effectively that revenue is converted into profit.

Based on the reported FY 2023–24 revenue of approximately ₹8,320 crore and profitability of approximately ₹4,700 crore, Zerodha's calculated ROS is approximately 56.49%. The comparable FY 2022–23 calculation is approximately 42.18%, indicating an improvement in the proportion of revenue converted into profit.

Therefore, ROS is a useful financial indicator for entrepreneurs because it helps evaluate pricing, cost control, operational efficiency and overall profitability. However, ROS should be studied together with revenue growth, cash flow, business risks and industry conditions before making a final assessment of startup performance.

15. References

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